

Article | 18 September 2026

FX RATES UNITED STATES

Why we've changed our Fed and ECB calls

After hawkish decisions this month, we now expect a rate hike from both the European Central Bank and Federal Reserve in December. We now also expect the US 10-year yield to end the year above 5%



Fed Chair Kevin Warsh and ECB President Christine Lagarde. We now expect rate hikes from both central banks in December

We've updated our central bank views

As central bank watchers, we know that predicting what central banks will do is not always the same as what they should do. Wednesday's Fed meeting and last week's ECB meeting have shown us that both central banks are not likely to follow the very dovish path we anticipated. This is why we have changed our calls for the Fed and the ECB, now expecting them both to hike rates one more time before year-end.

In the past, students of monetary policy learnt that it is almost always the Fed leading new cycles of monetary easing or tightening. As a good rule of thumb, Europe, whether via the ECB or, previously, the Bundesbank, would typically follow three to six months later. Perhaps we can blame globalisation, more integrated economies and financial markets or simply the same exogenous shocks, but whatever the reason, this time around presents one of those rare occasions when the ECB is actually leading the Fed.

For the next few months, both central banks seem set to move in tandem. This comes as no surprise, given that both central banks are facing the same dilemma: a supply-side shock

driven by surging energy prices that has so far produced only limited knock-on effects across the broader economy, set against still-fresh memories of the 2022 inflation surge and delayed central bank responses. At the same time, both the US and eurozone economies show an almost unexpected resilience, though to different degrees.

The much longer-lasting war in the Middle East has not only pushed energy prices to new highs, but also increased the risk that inflation could spread more broadly in the economy. This is why we now expect the Fed and the ECB to hike once more, in order to prevent these knock-on effects from materialising.

If energy prices remain higher for even longer, i.e., into 2027, and/or these knock-on effects materialise faster, both central banks could be forced to hike further. However, this is not our base case scenario, even after our forecast revisions. Our more dovish take, based on a reopening of the Strait of Hormuz before year-end and the fact that firms will not be able to pass through higher costs to consumers, still holds.

Our updated central bank forecasts

	Spot (18 Sep)	3Q26F	4Q26F	1Q27F	2Q27F	3Q27F	4Q27F	1Q28F	2Q28F	3Q28F	4Q28F
Central bank rates (%)											
US (Upper bound)	4.00	4.00	4.25	4.25	4.25	4.25	4.00	3.75	3.50	3.50	3.50
Eurozone (deposit rate)	2.50	2.50	2.75	2.75	2.75	2.75	2.50	2.50	2.50	2.50	2.50
UK (Bank Rate)	3.75	3.75	3.75	3.75	3.75	3.50	3.50	3.25	3.25	3.25	3.25
10-year bond yields (%)											
US	4.95	5.00	5.10	4.90	4.75	4.60	4.50	4.50	4.50	4.50	4.50
Germany	3.50	3.50	3.40	3.30	3.25	3.10	3.10	3.10	3.10	3.20	3.20
UK	5.26	5.20	5.30	5.20	4.80	4.60	4.55	4.50	4.50	4.50	4.50
EUR/USD	1.1480	1.15	1.16	1.16	1.18	1.19	1.20	1.22	1.22	1.22	1.22

Source: ING

Our new Fed call: One more hike

We had switched to expecting a September Fed rate hike in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, but characterised it as a likely one-off recalibration move akin to the single hike delivered by Alan Greenspan's Fed in 1997. However, the fact that only two FOMC members believe the central bank won't hike again this year suggests a broader hawkish repositioning has already occurred within the committee.

This has not been driven by economic data. The low-hire, low-fire labour market is keeping a lid on wage growth, which in turn should limit the scope for second-round price effects from higher energy costs. Meanwhile, tariff-related cost increases have largely worked through, with IEEPA tariff refunds providing a cash flow boost to corporate America. The largest component of inflation, shelter, is also looking less threatening, with the stagnant property market contributing to cooling housing rent metrics. We also remain sceptical of so-called "chipflation" given the small weighting within the inflation basket for impacted categories of goods and the

fact the US uses hedonic pricing, which incorporates quality improvements into price calculations.

Instead, it appears the Fed is increasingly focused on accelerating the pace at which inflation converges on the 2% target, fearing the protracted conflict in the Middle East will keep energy-impacted components elevated for longer and risk broader cost increases if left unchecked. We now expect this to mean at least one more rate rise.

In terms of timing, there are two more meetings this year. The first is 28 October, but we only have one round of jobs and inflation data between now and then; the proximity to the mid-term elections on 3 November could also prove a complicating factor. Unless the September jobs numbers and inflation data are very hot – which would leave little choice on a hike – we suspect the Fed would prefer to wait until 9 December.

Only 4 of 18 FOMC members anticipate the need for two hikes this year, but eight do expect a second hike next year. That is going to be contingent on the energy story. Our assumption of a Middle East de-escalation, improved energy flows, and lower prices over the next six months would likely mean an additional hike would not be needed – and as such, we forecast a peak of 4.25% followed by a prolonged pause.

Economic growth remains resilient, but the hefty upward moves at the long end of the yield curve will act as a brake on economic activity in an environment where real household disposable incomes have flatlined for 18 months. There are already signs of consumer stress in the form of low savings rates and rising credit card and auto loan delinquencies to levels last seen during the Global Financial Crisis. The lack of business capex growth outside of the tech sector also underscores the concentration risk within the US economy right now. As a result, we tentatively suggest we could start to see the Fed reversing course again from late 2027, particularly if energy prices are experiencing significant falls by then.

Our new ECB call: A December rate hike

Last week's ECB was not outright hawkish but more subdued and subtle hawkish. Christine Lagarde's downplaying of the concept of neutral interest rates can be seen as a way to prepare the grounds for further hikes. The fact that the staff projections see headline inflation only dropping below 2% in Q4 2027, while at the same time core inflation is expected to increase slightly were also hidden hawkish messages. At the same time, though, there are currently no signs of knock-on effects from higher energy prices. The risk is high that the ECB's own models are not fully capturing structural shifts and are overestimating the broadening of inflation in the economy.

Still, oil prices above 100 USD/bbl and the ECB still regretting its too late response to the inflation shock in 2022 are likely to push the ECB towards another rate hike before year-end. A hike that would still fall in the category 'insurance rate hike', with an increasing risk that

unwarranted damage to the economy could be done.

Looking beyond the next hike, we still think that market expectations of at least two more hikes in 2027 are overdone. It won't take a lot to undermine the picture of eurozone resilience. A picture that is too obvious also painted in the last ECB projections. GDP growth estimates of 0.3% to 0.4% quarter-on-quarter throughout 2027 and 2028 look highly optimistic. We wonder whether there shouldn't be more of an adverse effect on growth from higher oil prices and higher interest rates. Already next week's sentiment indicators (PMIs and Ifo) could change the picture of unbreakable resilience.

As long as there is only very limited spreading of the energy price shock to the rest of the economy, there is very little reason for the ECB to continue hiking next year. Every additional rate hike increases the risk of an unwarranted slowdown of the economy. If we are right and oil prices come down towards the end of this year and knock-effects from higher energy prices remain limited, we don't see additional rate hikes in 2027. If we are wrong, the story could clearly change.

Our Bank of England call: A hold in November (just)

We're sticking to our Bank of England call, which is that rates stay on hold into 2027. But this is entirely contingent on energy prices coming lower.

The Bank is still visibly reluctant to hike rates, partly because there's no sign of second-round effects, and partly because rates are more obviously restrictive than in other economies – particularly with the degree of tightening priced into financial markets.

But at its September meeting, the Bank made it abundantly clear that it's getting harder not to act. It has indicated that at current energy prices, inflation is likely to narrowly top 4% early next year, if only briefly. And the Bank has said previously that 4%+ inflation is statistically more likely to trigger a wider and more persistent price shock.

If that forecast is maintained at the November meeting because energy prices have failed to come down, then we would expect a BoE rate hike. In that scenario, we'd expect a follow-up hike in the spring.

That 4% inflation forecast is not inevitable. A lot of it rests on the uprating of the regulated energy price cap in January, which in turn depends on average natural gas prices over an 'observation window' between mid-August and mid-November. If nothing changes, we're looking at a 25% increase in energy bills at the start of 2027, but we're only a third of the way through that window. A fall in gas prices would temper that increase and therefore the overall peak in headline inflation.

Given our call for natural gas and oil prices to move lower through 4Q, we think our existing call for the Bank of England to keep rates on hold into 2027 is still valid for now. We are, however,

pushing back our forecast for the first rate cut to 3Q next year.

Rates: Direction to come from US Treasuries (10yr from sub-5% to 5.25% to 4.5%)

We've nudged higher anticipated end-year 10yr bond yield forecasts. It's a subtle move, but significant in the sense that it brings into play some key levels. In the US, the key number for the 10yr is now 5.1% at year-end, while for the eurozone we're in the 3.5% area for long-tenor rates. These levels are not wildly different from where we are now, but importantly, leave open the risk that some overshooting can occur in the intermediate period. That's a particular theme for the US 10yr where we've already closed above 5% twice in recent days. We're back below now, but we identify ongoing upside pressure for US long rates as a theme in the coming months. The eurozone has tended to share such moves, and will maintain a tendency to do so. Japanese long rates too should remain under pressure, and the same obtains for long-dated UK Gilts.

Front ends have been pricing in sequences of rate hikes for some time now, across all four major central banks. Specifically, so-called "carry spreads" (official rates to the 2yr) in the 75bp to 100bp range signalled market readiness for the delivery of a "few" hikes by central banks, without specificity on timing. This remains the case, with carry spreads of 65bp, 75bp, 90bp and 95bp for the ECB, Fed, BoE, and BoJ respectively. Think of neutrality at around 30bp, and anything above that as an implied market rate hike discount. The actual delivery of rate hikes is important, as it validates the prior evolution of carry spreads and, in turn, acts as a calming influence for long-end rates. We saw some of that play out as the Fed hiked by 25bp and intimated more. It helped calm long-end inflation expectations and take the US 10yr yield back below 5%.

However, even if inflation expectations have nudged lower, there are other pressures that long ends need to contend with. The first is issuance pressure, or more pertinently, the medium-term issuance narrative stemming from fiscal largesse; we can throw in long-duration hyperscaler issuance as a contributing factor, too. That's the "bad". Then there's the "ugly", in the guise of ongoing energy price pressure stemming from the Iran war. And there is the "good". Higher real rates have been an important driver, and a part of this likely incorporates AI-driven productivity growth. If that last bit was the central driver, we'd have little to worry about. But it's the other, more sinister factors that have predominantly sparked long-end market jitters. There's no doubt that central bank rate hikes help calm such jitters – but they do not make them disappear.

It took some time, but markets have finally developed a laser focus on deteriorating debt dynamics and medium-term financing concerns, particularly in the US. It's not impossible that we get through the coming months without another significant move higher in long-end yields. However, the balance of probabilities suggests there is at least one more leg of long-

end weakness still to play out. In an extreme scenario, this could take US 10-year yields into the 5.25% to 5.5% range. Other markets would likely move in tandem, mapping out similar, albeit less dramatic, blow-outs. Thereafter, we would expect a period of calm, particularly through 2027, as inflation ultimately heads lower. But first, we need to get through 2026.

FX: Short-term downside risk, but EUR/USD profile unchanged

EUR/USD currently has three primary drivers: short-term rate differentials, oil prices and global risk sentiment. Let's look at how these can change and impact the pair in the coming quarters based on our updated views.

1. **Short-term rates (neutral impact).** The EUR and USD swap rate curves look quite similar in their front-end segment – the most relevant one for the currency market. In both countries, rates are expected to be around 70-80bp above current levels at the end of 1H27. While we've revised our central bank calls higher, we remain firmly more dovish than those expectations. One hike each for the ECB and the Fed means similar dovish repricing in both curves in the next couple of quarters. The short-term rate impact on EUR/USD should therefore remain close to current levels into year-end and then gradually tighten throughout 2027. That implies an initially neutral and then gradually positive impact on EUR/USD.
2. **Oil prices (positive impact).** The premise of our dovish rate calls relative to the market is that oil prices will come lower and take the pressure off central banks. Our commodities team still targets an \$80/bbl average for 4Q26. While the oil-EUR/USD correlation can weaken in an energy price decline, it should support the pair on the margin.
3. **Risk sentiment (positive impact).** With the caveat that tech-related jitters can re-emerge at any time, the decline in short-term USD funding costs included in our forecast normally has a positive knock-on effect on FX liquidity and global market sentiment. Lower oil prices would also help in that direction. We expect a positive impact on EUR/USD in our baseline.

Taking all the above into account, we aren't changing our forecast for year-end in EUR/USD: 1.160 is fully in line with the scenario outlined for these drivers according to our calculations. However, risks are more skewed to the downside in the coming weeks.

We feel that the Fed's hawkishness has left EUR/USD more vulnerable, and 1.140 can certainly be tested, with risks extending to the 1.132 June lows if oil prices jump again and the Fed hikes rates in October. Looking at 2027, risks are also on the downside relative to our latest [forecasts](#), which included a move to 1.20 by year-end. That's due to the highest carry attached to USD after two more hikes. That said, if markets start to price in Fed cuts late next year, a broad-based dollar decline remains very possible.

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FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



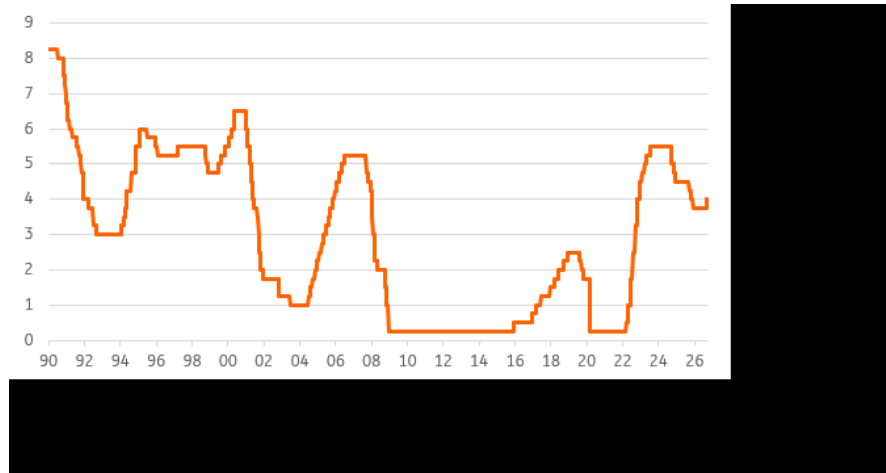
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

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Article | 11 September 2026

JAPAN

Bank of Japan preview: 25bp hike incoming

The Bank of Japan meets on 18 September to set rates. A 25bp hike to 1.25% is widely expected, with the market close to pricing in a further 25bp hike by the end of the year. Money market rates have surged since June, raising the risk of a yen-negative reaction if the BoJ fails to confirm a more aggressive tightening cycle



Kazuo Ueda, Governor of the Bank of Japan

Why have rates moved so much?

The market's previous view on the BoJ tightening cycle had been that one 25bp hike would be delivered every six months. The terminal policy rate was always seen to be around 2.00%, but until recently investors expected the BoJ to take two years to get there.

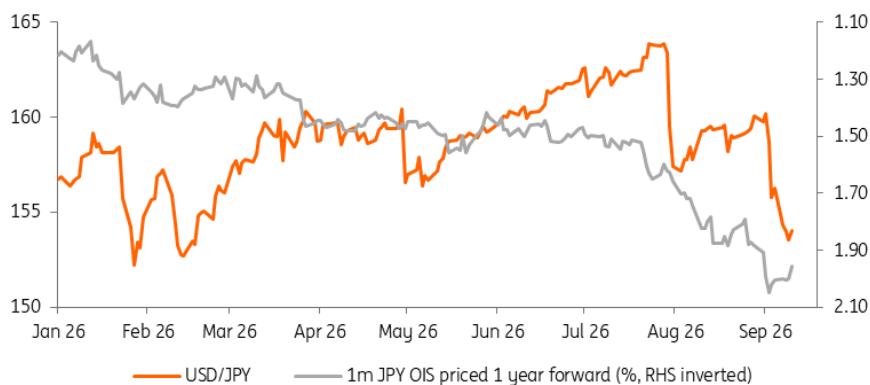
Since June, however, that pricing has shifted aggressively. One-month JPY OIS rates priced one year forward have risen a staggering 50bp since the start of July. What's changed?

It is hard to blame the renewed rise in energy prices for the re-pricing in money markets, since there was not a big re-pricing during the first surge in crude oil in March. Instead, it looks like the US Treasury's FX intervention in late July has played a significant role. Here, US Treasury

Secretary Scott Bessent has signalled that he expects the BoJ to raise rates at a quicker pace to provide macro support to the yen buying intervention.

Also helping the repricing has been local Japanese data. Real cash earnings rose by 2.4% year-on-year in July, reinforcing the narrative that producers will be able to pass on higher input costs.

Sharp repricing in short-dated rates weighs on USD/JPY



Source: Refinitiv, ING

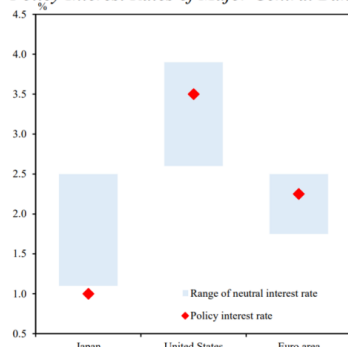
The BoJ's perspective

Formal communication from the BoJ this year has acknowledged that the real policy rate is negative and needs to be raised. Various BoJ speeches have discussed the concept of a neutral rate, which most see in the 1.1-2.5% range in nominal terms.

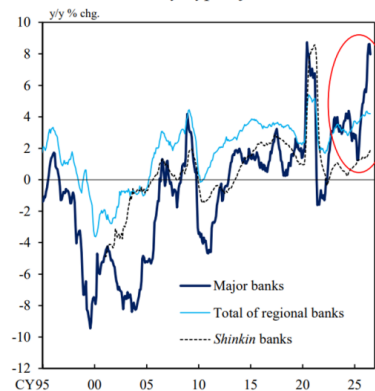
The diagram below has appeared in a few BoJ presentations recently and serves as a reminder that monetary conditions are too loose now that inflation is seen sustainably above 2.00% into FY2028. Among many of the positive charts in these presentations, one that stood out was the 10% year-on-year loan growth from 'Major Banks' – matching the peak from early 2020. Clearly, financial conditions are far from tight.

BoJ's views on neutral rates and loan growth

Range of Neutral Interest Rate and Policy Interest Rates of Major Central Banks



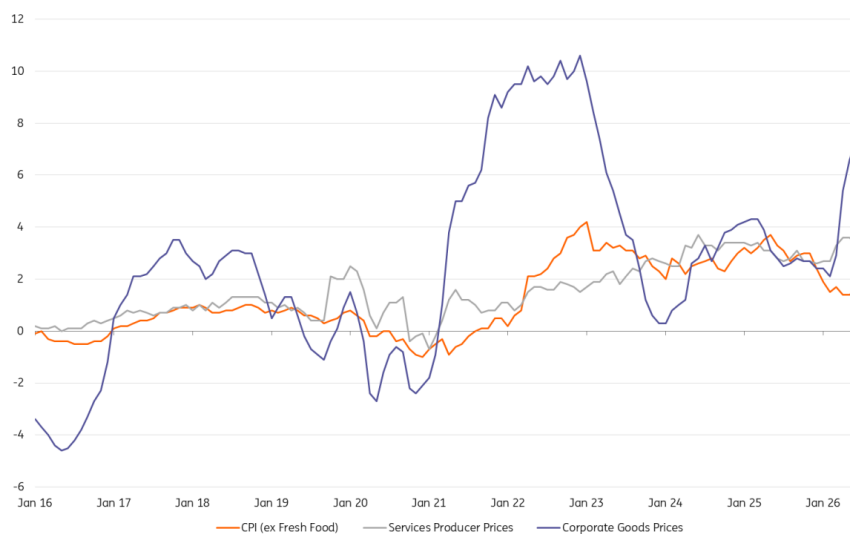
Loans by Type of Bank



Source: Bank of Japan

When it comes to prices, the BoJ narrative has firmly shifted towards inflation moving onto a sustainable path. One central theme now is that higher input/producer prices are more likely to feed through into broader CPI. The most recent Tankan business survey showed output price expectations rising sharply and the BoJ is focusing heavily on the 7% year-on-year growth in corporate goods prices.

Japan's measures of inflation (% , year-on-year)



Source: Refinitiv, ING

The decision

We doubt the BoJ would want to shock investors and Scott Bessent by leaving the policy rate unchanged at 1.00%. A 25bp rate hike to 1.25% looks likely. The marginally bigger risk than unchanged rates is a 50bp rate hike, perhaps as part of a broader understanding with Washington designed to sustainably push USD/JPY lower, reduce the need for large-scale dollar selling intervention from the BoJ and help stabilise JGBs.

However, the Japanese government has an aggressive pro-growth strategy and will no doubt express its views against a more aggressive tightening cycle. Maybe we are underestimating a shift here, but it is hard to see government officials backing a much faster tightening cycle of either a 50bp hike in September or back-to-back hikes in September and October. Instead, our house view is for two further 25bp rate hikes next January and April, which would take the policy rate to 1.75%.

A near-neutral 1.75% policy rate next April seems an appropriate target before the consumption tax on food and non-alcoholic beverages is cut from 8% to 1% that month for two years. That will sharply depress headline inflation – perhaps for the next two years – and would create a difficult environment in which to deliver further tightening.

FX: Yen bulls risk some disappointment

USD/JPY has already fallen sharply on expectations of faster BoJ tightening and speculation over major shifts in GPIF investment allocations, perhaps in late October. Before the BoJ meeting, USD/JPY will have had to contend with (ING's forecast) a Fed hike two days earlier and higher energy prices.

In FX, we see a greater risk that the BoJ fails to match heightened speculation over a follow-up rate hike in December, while October looks far too early. Equally, some may be disappointed if there is no news from the GPIF on the same day. If so, USD/JPY could be due a correction to the 157/158 area, where presumably more supply awaits ahead of potential policy announcements in late October.

For reference, the FX options market is pricing around a 200 yen pip range for USD/JPY on BoJ decision day.

Rates: The back-end to get more protection

The big theme going into this Bank of Japan meeting has been the marked widening of the carry spread (BoJ spread to the 2yr), which is out to the 80s bp area. That's the widest it's been during the current rate-hiking cycle. Typically, the widest carry spread would be at the initiation of the rate-hiking cycle. The fact that it's widest now points to a market discount for a degree of acceleration in the rate-hiking process. The absolute level of the carry spread points to the delivery of at least 50bp on top of the 25bp that we expect to be delivered at the upcoming meeting.

The 2/10yr curve in the meantime has flattened from the front end, broadly in tandem with the upside pressure that widened the carry spread. Indeed, longer tenor rates have managed to come off prior highs. This is particularly marked in the 30yr Japanese Government Bond benchmark yield. It had touched 4.2%, before gapping back down to just under 4% in the past couple of weeks. Much of this move gelled with the notion that the BoJ would inevitably hike at

the upcoming meeting, and for it to be a hawkish hike, one that was more cognisant of the inflation risks that had been compromising long-dated yields.

Delivery of a 25bp hike plus a hawkish tone should help consolidate, or at the very least, validate these moves. The 4+% area of the long end of the JGB curve remains a level that we would identify as offering structural value. Deep discount off-the-run low-coupon lines continue to offer generous absolute yields in the 5%+ region. These are remarkable valuations given where JGB yields have come from (practically from zero in 2019).

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 18 September 2026

SWITZERLAND

Swiss National Bank preview: Still no reason to move

Swiss economic growth has recently surprised on the upside, but inflation remains too low to warrant a change in monetary policy. We expect the Swiss National Bank to keep its policy rate at 0% next Thursday and to remain on hold over the coming quarters



Swiss National Bank Chairman Martin Schlegel

The economy has performed better than expected

The Swiss economy has recently delivered a positive surprise. GDP adjusted for sporting events increased by a particularly strong 1.5% quarter-on-quarter in the second quarter. Importantly, this figure is not annualised, making the expansion all the more remarkable. Growth was broad-based across sectors and demand components, in line with the improvement in confidence indicators.

The headline figure nevertheless probably overstates the underlying strength of the economy. Almost half of the quarterly increase came from the volatile chemicals and pharmaceuticals sector, alongside a sharp rise in exports. A deceleration is therefore likely in the second half of the year.

Even so, the economy is clearly performing better than anticipated a few months ago. We

have raised our forecast for GDP growth to an average of 1.9% in 2026, while we expect growth of 1.6% in 2027. The stronger outlook reflects the solid performance recorded in the first half of the year, somewhat more favourable international demand and the recent slight weakening of the Swiss franc. Domestic demand should also continue to expand, supported by private consumption and stronger capacity utilisation.

Stronger growth is not an inflation risk

The stronger growth performance does not, in our view, represent a significant risk to price stability. The consequences of the global energy shock are visible in Switzerland, but they remain much less severe than in most other developed economies.

Following the rise in global energy prices, headline inflation increased to 0.8% year-on-year in August, from 0.4% in July. This was largely driven by petroleum product prices, which were 25.2% higher than a year earlier. Nevertheless, inflation remains comfortably within the SNB's 0-2% inflation target.

More importantly, underlying inflationary pressures remain extremely weak. Excluding petroleum products, Swiss inflation stood at just 0.3% year-on-year in August. This suggests that the energy shock has not translated into broad-based price pressures and that domestic second-round effects remain limited.

The strength of the Swiss franc continues to play a considerable role in keeping inflation below that of Switzerland's main trading partners. By limiting the increase in the price of imported goods, the currency acts as an important buffer against global inflationary shocks. This mechanism is particularly powerful in Switzerland, where imported goods account for around 22% of the consumer price index. It also helps explain why the current energy shock is proving much less inflationary than elsewhere, as was already the case in 2022.

However, the exchange-rate channel provided slightly less disinflationary support in August than in previous months. The franc has weakened moderately against the euro since the SNB's June meeting. This should provide some support to exporters and could put limited upward pressure on imported prices, but the currency remains strong by historical standards.

Inflation should remain under control

Inflation is likely to remain contained over the coming months. In forecasts published yesterday, the government maintained its projections for average inflation at 0.6% in both 2026 and 2027. These forecasts are based on the current profile of energy futures, which points to lower oil prices over the coming months. If that profile materialises, part of the recent increase in headline inflation should prove temporary.

We believe that the SNB is likely to revise its conditional inflation forecast slightly higher, particularly over the short term, to account for the recent increase in energy prices and the

somewhat weaker franc. At its June meeting, it forecast average inflation of 0.6% in 2026 and 2027 and 0.7% in 2028. A modest upward adjustment now looks likely, but we do not expect a significant revision to the medium-term profile. Underlying inflation remains very low, domestic price pressures are contained and the pass-through from the energy shock remains limited.

Overall, there is little to suggest that the SNB needs to change its policy rate. We expect it to leave the rate unchanged at 0% on Thursday and to remain on hold over the coming quarters, particularly if, as we expect, global energy prices eventually decline.

The SNB is therefore likely to continue to stand out from other central banks by maintaining a much more accommodative monetary policy stance. This divergence reflects Switzerland's domestic inflation environment, which remains unusually benign thanks in large part to a currency that is still strong.

FX intervention remains a backstop, not the base case

Foreign exchange intervention will remain part of the SNB's policy toolkit. In June, the central bank referred specifically to purchases of foreign currency to counter a rapid and excessive appreciation of the franc. Such action would remain possible in the event of a renewed safe-haven shock that pushes imported inflation lower and revives deflation risks.

For now, the franc's recent weakening and Switzerland's persistently lower inflation relative to its trading partners have reduced the need to intervene. The SNB is therefore unlikely to respond to every bout of nominal appreciation, particularly as the franc's real effective appreciation remains more limited.

The asymmetry of the SNB's communication is also significant. It has not signalled a willingness to sell foreign currency to strengthen the franc, as it did in 2022, to curb imported inflation. With inflation still firmly under control, there is little reason to reopen the door to such interventions. We therefore expect the SNB to retain its one-sided guidance: FX purchases remain possible in response to an abrupt and excessive appreciation, but systematic intervention and a return to the 2022 strategy are unlikely.

All in all, we expect the SNB to leave its policy rate at 0% and to retain its targeted approach to foreign exchange intervention. As long as domestic inflation remains subdued and the franc stays strong, albeit without appreciating excessively, the SNB can continue to run a significantly more accommodative monetary policy stance than most other central banks.

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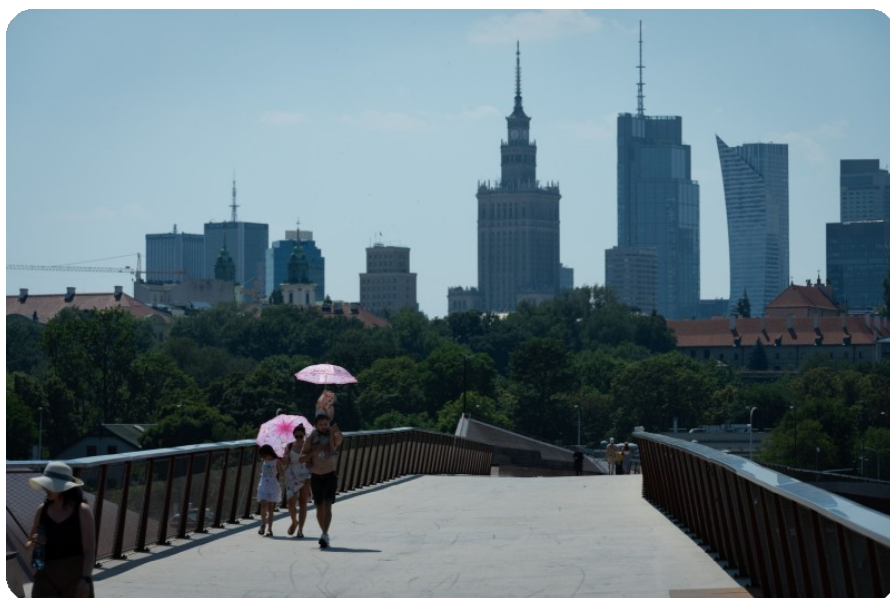
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Article | 18 September 2026

CZECH REPUBLIC POLAND

CEE & CCA week ahead: Labour markets, confidence data and interest rates in focus

Next week, Poland will release labour market, construction and retail sales data, while the Czech Republic publishes confidence indicators and Azerbaijan announces its latest monetary policy decision



Warsaw, Poland

Poland: Consumer demand and labour market trends in focus

August labour market data will be released on Monday. In July, wage growth was boosted by one-off payments in some sectors (energy, forestry), and we estimate that earnings growth eased in August but probably remained above 6% year-on-year, supported by the ongoing recovery in industry and a favourable calendar effect. The general downward trend in wage growth is likely to continue in the coming months, and domestic price pressures remain contained even as headline CPI rises on the back of the energy shock. The pace of the decline in enterprise sector employment was probably unchanged, remaining at 0.8% YoY.

Monday also brings August construction output data, which disappointed significantly in July, posting an annual decline, but it is possible that there were delays in reporting completed stages of ongoing projects. Therefore, we expect solid annual growth in August, supported by

projects financed under the National Recovery Plan (NRP) and the overall strength of fixed investment activity in the economy (up 8.4% YoY in 2Q26). We believe that residential construction remains the only weak spot, as the overhang of unsold dwellings continues to weigh on construction activity. By contrast, civil engineering and specialised construction works were probably robust last month.

The ongoing energy crisis and slowing wage growth are weighing on consumer spending, contributing to a gradual slowdown in private consumption (to below 3% YoY in 2Q26). However, demand for durable goods remains relatively resilient. During the last two weeks of August, VAT on fuels was temporarily reduced from 23% to 8%, which probably boosted sales of petrol and diesel, as further price increases were widely expected in September. We estimate that the August reading of retail sales of goods grew by around 5% YoY.

Czech Republic: Consumer sentiment to stabilise as industry mood softens

Wednesday brings the release of September's economic sentiment and confidence indicators. Consumer confidence has likely stabilised in September, following the previous notable drop. Solid real wage growth should still be able to hold consumer mood above its long-term average, though both may come under pressure at the turn of the year due to increasing consumer prices. The mood in industry is set to have slightly weakened throughout September, as the effect of new orders inflow was likely offset by surging oil prices and uncertainty caused by the re-escalation of the Middle Eastern conflict.

CCA: Central bank of Azerbaijan likely to leave rates unchanged

The Central Bank of Azerbaijan is likely to keep the refinancing rate unchanged at 6.50% at its upcoming policy meeting next Wednesday, as current CPI remains stable at 5.6-5.8%, within the borders of the target range of $4 \pm 2\%$. That said, given the upward trend in global and regional inflation and rates, the tone of the commentary should become increasingly risk-focused, and hawkish guidance is not excluded as a possibility.

Key events in CEE & CCA next week

Country	Time (BST)	Data/event	ING	
Monday 21 September				
Poland	0830	Aug Employment Growth (YoY%)	-0.8	-0.8
	0830	Aug PPI (YoY%)	4.1	2.8
	0830	Aug Wages (YoY%)	6.2	6.8
Tuesday 22 September				
Turkey	0800	Sep Consumer Confidence	-	90.8
Poland	0830	Aug Retail Sales (YoY%)	5.1	3.9
	1300	Aug M3 Money Supply (YoY%)	11.1	11.3
Hungary	1300	Rate Decision	5.50	5.50
Wednesday 23 September				
Russia	1700	Aug Industrial Output (YoY%)	0.2	0.4
Azerbaijan	0700	Refinancing rate (%)	6.50	6.50
Poland	0830	Aug Unemployment Rate	5.8	5.8
Thursday 24 September				
Czech Rep	0800	Sep Consumer Confidence	102.5	102.3
	0800	Sep Business Confidence	100.0	100.2
	0800	Sep Composite Confidence Index	100.4	100.5
Poland	0830	Sep Business Confidence	-	-5.1
Turkey	1230	FX Reserves (USD bn)	-	70.4
Friday 25 September				
Hungary	0730	Q2 Current Account Balance (QoQ%)	-	0.3
	0730	Aug Unemployment Rate	4.7	4.6

Source: Refinitiv, ING

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Article | 18 September 2026

Riksbank preview: Hold now, hike in November

A surprise hike shouldn't be entirely ruled out on 24 September, but we favour a hawkish hold instead, with strong hints that tightening is coming. We expect a hike at the November meeting, followed by at least another one by end-1Q27. We have revised our EUR/SEK profile higher on the back of our [new Fed and ECB calls](#), but SEK appreciation remains our baseline



The Riksbank has been on hold despite energy price increases

Consensus is in favour of the Riksbank staying on hold at 1.75% on 24 September. We agree: August inflation undershot expectations and does not call for immediate action. Still, external pressure is mounting, and a surprise hike cannot be fully ruled out. Higher oil prices and the more proactive stance of the European Central Bank and Federal Reserve could lead the Riksbank to bring forward a hike that already looked likely early next year, as inflation gradually moves back above target.

We are therefore revising our call and now expect a 25bp hike in November or December, with a preference for November. We do not expect back-to-back moves, with the following

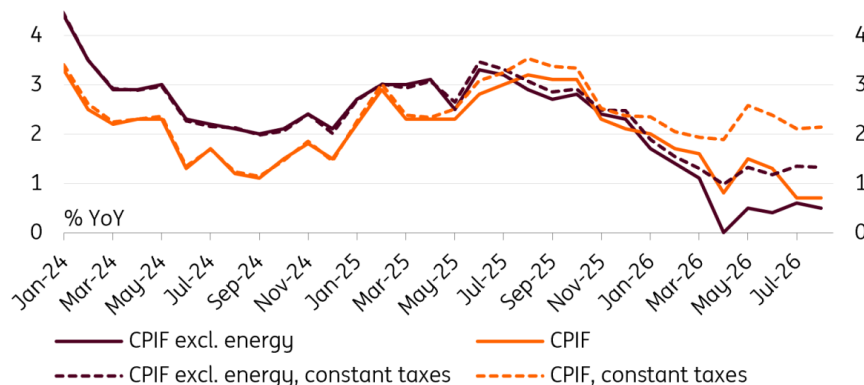
hike in February or March.

Inflation muted, but should rise

Swedish inflation is not easy to measure this year. The Riksbank has acknowledged the dampening effect of temporary tax measures and shifted its focus towards more core measures. As shown below, the headline tax-adjusted inflation is slightly above target but the index excluding energy stabilised at 1.3% in July and August. These inflation dynamics are far from alarming, and broadly in line with the Riksbank's main scenario presented in June.

That said, the direction of travel for inflation remains higher. Accommodative policy, the likely expiry of tax cuts this autumn, rising energy prices and a weaker krona all point to upside risks. We expect the Riksbank to revise its inflation forecasts higher at the September meeting. In particular, a core inflation forecast above the current 2.0% for 2027 could be read as an implicit endorsement of market pricing for multiple rate hikes.

Sweden's inflation has been dampened by tax effects



Source: ING, SCB

Strong growth in 2Q, slower in 3Q

Second quarter growth surprised to the upside, with annual growth reaching 3.3%, well above the Riksbank's 1.9% forecast. Strong fixed investment, household consumption and net exports were the main drivers.

However, GDP contracted by 0.8% month-on-month in July, suggesting momentum weakened at the start of the third quarter. Meanwhile, the unemployment rate rose sharply to 8.9% in August, although the Riksbank is likely to view these job figures with a degree of caution.

No urgency now, but November hike on the cards

Overall, we expect the Riksbank to leave rates unchanged in September while signalling that a

hike is drawing closer. A move next week cannot be fully ruled out, but with only 5bp priced and August inflation broadly benign, the case for immediate action remains weak.

That said, the medium-term inflation outlook points in the other direction. Rising price pressures in the coming quarters, external factors and a weaker krona could encourage the Riksbank to act pre-emptively, particularly given the resilience of growth, paving the way for a hike in November.

The main caveat is the situation in the Gulf, but following this meeting, a decline in oil prices would need to be much larger to persuade the Riksbank to forgo an autumn hike.

Rate projections to send hawkish message

We expect the rate projections to be revised higher to fully reflect a year-end hike, implying a 4Q average policy rate of around 1.88%. We also expect the timing of subsequent hikes to be brought forward, lifting the average 1Q 2027 policy rate from 1.89% to around 2.05%, before reaching 2.2-2.4% in the second half of 2027.

While this would still fall short of market pricing for rates to reach 3.0% by end-2027, it would represent enough of a mark-to-market adjustment to support front-end SEK rates.

Higher rates to lend some support to the krona

We think a hawkish message next week will consolidate expectations for a November move (now 22bp priced in) and could fuel speculation about back-to-back hikes. Over the past two weeks, both the euro and the dollar have received support from their respective central banks. Next week, we think it will be the krona's turn.

Still, SEK cannot be viewed through the Riksbank lens alone. EUR/SEK has been driven higher by elevated oil prices, weaker risk sentiment and a hawkish ECB. The Riksbank can counter the latter by narrowing the gap with ECB pricing, but lower oil prices are still required to drive a sustained move lower in EUR/SEK.

[We have also revised our ECB and Fed forecasts](#) to include one additional hike by year-end from each. As a result, the floor has been set higher for EUR/SEK, both directly through the ECB and indirectly through the Fed via risk sentiment and liquidity conditions. Our baseline remains for oil prices to decline sharply from 4Q, leaving our EUR/SEK profile downward sloping.

That said, we have raised our forecast path over the coming quarters and now see EUR/SEK at 11.10 by year-end. In the near term, another leg higher in oil prices and risk sentiment jitters could lift EUR/SEK back to 11.40-11.50, its highest level since February 2025, even if the Riksbank prepares for a November hike.

A lot of media attention has focused on the very close result in the Swedish election this

month. Political events tend to be a very marginal driver for SEK and while difficult coalition talks may continue to attract attention, we cannot see or forecast any meaningful impact on markets.

Our new EUR/SEK forecasts

	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27
EURSEK	11.20	11.10	10.95	10.80	10.70	10.60

Source: ING

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Article | 18 September 2026

POLAND

Softer Polish industry underscore risks to GDP growth outlook

Despite the conflict in the Middle East, Poland's second-quarter GDP growth was buoyant at 3.9% YoY – but softer-than-expected August industrial output data, alongside the prolonged energy crisis, calls for caution on the economic outlook for the coming quarters. We're sticking to our conservative forecast of GDP growth at 3.4% this year.



Softer industrial data for August has only increased our caution surrounding Poland's economic outlook

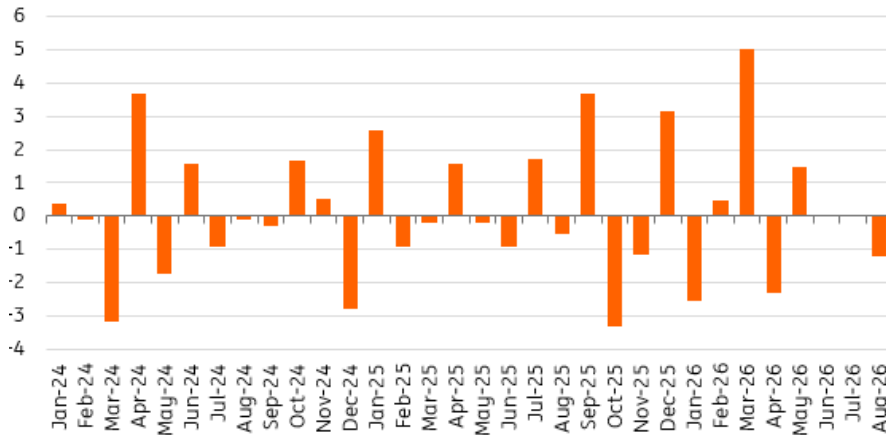
Industrial output short of expectations in August

Poland's industrial output increased by 4.3% year-on-year in August (ING: 8.3%; consensus: 6.1%), following growth of 4.8% YoY in July (revised down from 5.1% YoY). Given a favourable calendar effect in the form of one additional working day compared with a year earlier and a low statistical base from last year, the result is disappointing.

Growth in manufacturing output slowed to 3.4% YoY from 4.2% YoY a month earlier. Energy production continued to expand at a double-digit pace (10.5% YoY), as did mining output (18.7% YoY). Seasonally adjusted data points to a 1.2% month-on-month decline in industrial production, following two months of flat monthly readings.

Industrial production down in August

Industrial production MoM (SA)



Source: GUS, ING.

Growth in August was driven mainly by the production of intermediate goods (8.5% YoY), non-durable consumer goods (4.8% YoY) and capital goods (4.7% YoY). In contrast, output of durable consumer goods and energy-related products declined (down by 7.0% YoY and 0.5% YoY, respectively).

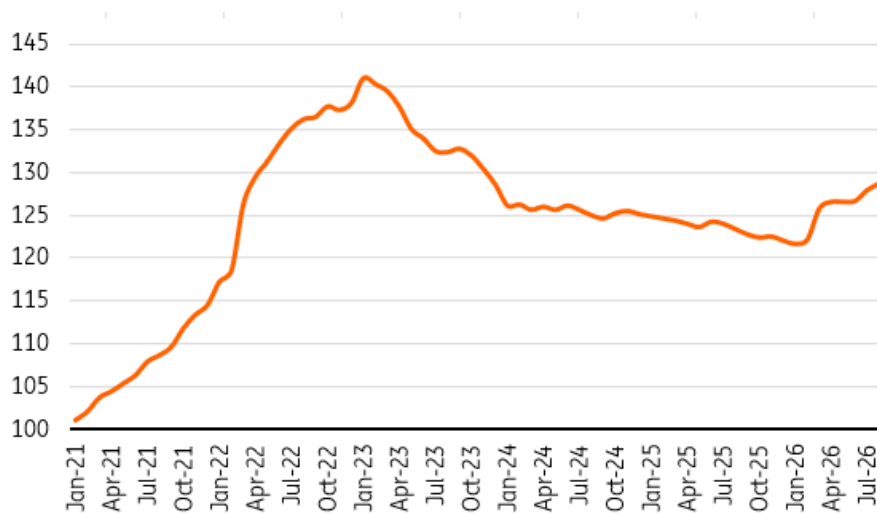
Production increased in 25 out of 34 subsectors in August. The strongest gains were recorded in electrical equipment manufacturing (18.7% YoY) as well as machinery and equipment production (12.8% YoY), reflecting the advanced stage of the investment cycle co-financed by the National Recovery Plan (NRP). The largest declines were in the production of tobacco products (-11.7% YoY), textiles (-4.9% YoY), furniture (-2.3% YoY) and motor vehicles (-1.5% YoY), all of which are particularly exposed to competition from China. Recently, China has become Poland's largest importer, ahead of Germany.

Producer price inflation increased

Producer prices (PPI) increased by 4.2% YoY in August (ING: 4.1%; consensus: 3.6%), following growth of 3.1% YoY in July (revised up from 2.8% YoY). The marked acceleration in producer price inflation was largely due to a base effect from August last year, when the PPI index fell by 0.5% MoM, compared with a 0.6% MoM increase this year. Prices in the petroleum refining sector rose strongly for another consecutive month, reflecting higher crude oil prices on global markets.

Energy crisis pushing PPI higher

PPI, December 2021=100



Source: GUS, ING.

Stronger investment and softer consumption seen in 2H26

August data suggests that, despite Poland's surprisingly strong economic performance in 2Q26 (with GDP growth of 3.9% YoY), the outlook for the second half of the year warrants caution. In particular, slowing wage growth and elevated fuel prices could weigh on household consumption growth, which already decelerated in 2Q. At the same time, the investment cycle supported by NRP funds is peaking and generating multiplier effects across the economy, and this could already be seen in 2Q26 corporate investment data.

While we see scope for GDP growth to exceed our current 3.4% forecast for 2026, geopolitical uncertainty and the protracted energy crisis prevent us from revising that forecast upwards.

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Article | 18 September 2026

FX

FX Daily: Bank of Japan plays catch-up with the Fed

The yen has weakened back to summer levels following the Bank of Japan's dovish rate hike. More broadly, we continue to see upside risks for the dollar, with oil prices likely to become the predominant driver in the short-term given the quieter US data calendar



The yen has drifted back to summer levels as a dovish BoJ hike clouds the outlook for additional hikes

➔ USD: Oil in driver's seat

Moderating oil prices have taken the edge off the dollar's post-FOMC momentum. Energy markets may be gaining some optimism that Tuesday's reported meeting between US President Donald Trump and the Gulf States during the UN General Assembly could yield some clarity about plans for the region. Media speculation also points to Trump nearing a major decision on whether to escalate military operations or pursue an end to the conflict. Even so, we do not see these developments as enough to take Brent back below \$100/bbl at this stage.

We still see upside risks for the dollar as the Federal Reserve's hawkish message on Wednesday has, in our view, given the green light to markets to fully price in a hike in October if data and energy prices suggest so.

Looking ahead to the next few days, we note that this is typically a cyclical lull period for top-

tier US data releases. Today, industrial production and the leading index for August shouldn't attract much market attention, and the calendar is rather light next week. That leaves oil prices as the main market driver into month-end.

Fedspeak will also be watched, although the dot plot seemed clear enough in signalling the Fed is planning to hike again this year. Off-meeting remarks by FOMC members will become more relevant after September's data releases.

Francesco Pesole

➔ **EUR: ECB speakers still hinting hawkish**

European Central Bank members have resumed public appearances, with three policymakers delivering policy-related remarks yesterday. The tone remained broadly hawkish. Neutral-to-hawkish Gabriel Makhoul said every meeting is a "live" one, leaving the door open to an October hike; Ante Zigman, who is considered somewhat more hawkish, stressed the resilience of growth and the need to bring inflation lower. Olli Rehn, one of the Governing Council's most dovish voices, was unsurprisingly more neutral but did not push back against market expectations. It confirms the dovish camp is weak at the moment.

One notable point was that all three policymakers said there is no evidence of second-round effects. That remains somewhat inconsistent with the prevailing hawkish narrative and guidance. Even so, we do not expect any shift in tone in the near term.

This is one reason not to chase EUR/USD lower too aggressively from current levels. At the same time, front-end USD rates could still move higher in the coming weeks, particularly around key data releases, while the broader commodity and risk backdrop continues to point to downside risks for EUR/USD.

President Christine Lagarde speaks later today, but it is difficult to see her adding much to the message so soon after the meeting. A test of 1.140 remains the near-term risk, although our base case is for some stabilisation today.

Francesco Pesole

⬇ **JPY: Dovish hike leaves the yen exposed**

The Bank of Japan has raised its key rate by 25bp to 1.25% in a split vote, with Toichiro Asada and Ayano Sato dissenting. Japan's core inflation measure remained above 2% throughout 2025, and the BoJ expects inflation to stay above target in the coming years. The decision therefore acknowledges persistent upside inflation risks. However, Friday's data showed inflation easing slightly in August, partly because of subsidy-related distortions. The two dissenting board members, appointed by Prime Minister Sanae Takaichi, argued that without a renewed pick-up in inflation, a rate hike at this meeting was unnecessary. Their dissent could

make it harder for the board to reach consensus on another hike this year.

The yen weakened to 157.11 against the dollar, around one yen above its pre-decision level, as the statement offered little additional hawkish guidance to support bullish JPY positions. The dissent from Asada and Sato points to resistance against the fastest pace of rate increases in more than three decades and suggests they may increasingly act as a brake on further tightening.

Today's dovish surprise also underscores the high bar set by the Fed this week. We continue to see upside risks for USD/JPY, with a move back towards 160 possible in the coming weeks if oil prices remain elevated and the Fed hikes again as early as October.

Frantisek Taborsky

➔ **CZK: CNB remains relaxed but later turn should support FX again**

The Czech National Bank yesterday left its policy rate unchanged at 3.75% in a unanimous decision. The CNB press conference struck a dovish tone relative to market pricing, as expected, but signalled a "no-change" stance compared to the August meeting. The CNB Board remains open to further rate hikes yet sees no need to rush at this moment. However, our economists changed their forecast from unchanged rates to a hike in November, given our upside revision in the Czech inflation forecast and elevated global energy prices.

While the initial market reaction was dovish, rates ultimately ended the day unchanged from pre-decision levels. The CNB outlook remains a mixed bag; four rate hikes are still priced in, and the yield curve saw only slight steepening. Looking ahead, we anticipate the CNB adopting a more hawkish stance in the coming weeks and months. This should shift the curve from steepening to flattening and support the currency.

EUR/CZK briefly touched 24.350 yesterday but closed lower. For now, the 24.300–24.350 range appears fair, though we expect a stronger US dollar to push the pair higher in the coming days. However, September inflation data, due in early October, could mark a turning point; headline figures exceeding the CNB's forecast for the first time in a while might trigger more hawkish commentary from the central bank.

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Article | 17 September 2026

RATES SPARK

Rates Spark: Global long-end gets some relief from the BoE

Energy concerns eased somewhat, but long-end rates reacted more strongly to the Bank of England's decision to halt long-end gilt sales. In Europe, eyes also remain on France as the 2027 budget takes shape along with upcoming rating reviews



The Bank of England has decided to halt long-end gilt sales, leading to 30Y gilt yields dropping 30bp on the day

Bank of England getting creative with the very long end

The Bank of England surprised us with a big revamp of their quantitative tightening (QT) framework, helping 30Y gilt yields to go down 12bp on the day. Headlines first focused on the Bank's ambition to bring the entire bond portfolio down to zero over the coming years, which would add significant supply for the market to absorb. But the changes to the framework are more nuanced. For one, around £120bn gilts with the longest maturities will remain on the central bank's balance sheet, which means bonds maturing after 2049 will not be part of the active sales.

But perhaps a stronger signal to markets was the decision to pause active sales until April 2027 and explore a mechanism to transfer gilts from the Bank of England to the UK government treasury. Government-funded QT does not impact the total supply for the market to absorb,

since any purchases would have to be financed by new issuance. But it can help transform the maturity profile, and this is why 30Y gilts are taking a liking to the announcement. Longer-dated gilts will de facto be replaced by shorter gilt issuance.

Friday's events and market view

We will get the eurozone current account for July and the European Central Bank will release results of its inflation survey, where longer-run consumer expectations are expected to have nudged up on the back of energy prices. ECB President Lagarde will join the press conference following the ECOFIN meetings.

The US will release industrial production data for August. Fed officials scheduled to speak are Bowman and Schmid.

Some more attention will fall on France in the evening as DBRS (AA/Stable) and Scope (AA+/Negative) have scheduled potential rating reviews. Both ratings are higher compared to the three larger agencies (A+/Aa3/A+), but without a final budget yet, it might be premature to make any changes just now, especially more than just an outlook change. That said, PM Lecornu presented plans on Thursday to contain spending and keep the 2027 deficit at 5%. At 96bp, the 10y OAT/Bund spread remains at its highest levels since 2012, reflecting unease ahead of next year's presidential elections.

Other scheduled rating reviews from the three major agencies are for Ireland (S&P AA+/Stable), Germany (Moody's Aaa/Stable) and Greece (Moody's Baa/Stable).

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